

Classic Motor Market LLC

Operating Agreement

EDIT Original: "...as of this ____ day of January, 2026..." **Proposed Edit:** Fill in the real date. **EDIT**

This Operating Agreement (the "Agreement") is made and entered into as of this ____ day of January, 2026, by and among the parties identified as Members on the Schedule of Members attached hereto as Exhibit A, each of whom hereby agree to the terms and conditions set forth herein applicable to the operations of Classic Motor Market LLC, a Colorado limited liability company, (the "Company"), pursuant to the provisions of the Colorado Limited Liability Company Act, as amended (the "Act"). The parties identified as Members on the Schedule of Members are referred to individually as a "Member" and collectively as the "Members" or "Membership." Unless otherwise defined herein, capitalized terms used herein shall have the meanings assigned thereto in Article 13 below.

Name, Purpose, Place of Business and Fiscal Year

Company Name. The name of the Company is Classic Motor Market LLC. Unless otherwise approved by the Company's Board (as defined below), the business of the Company shall be conducted in such name.

Company Purpose. The purpose of the Company shall be to conduct any business that may lawfully be conducted by a limited liability company under the Act.

Business Address. The business address of the Company shall be <

> or such other address as the Board may from time to time designate.

Fiscal Year. The Company's fiscal year shall be the calendar year.

Registered Agent and Office. The name of the registered agent for service of process on the Company is Hutchinson Black & Cook, LLC and the address of such registered agent is 921 Walnut Street, Suite 200, Boulder, Colorado 80302. The Board may, by resolution adopted in accordance with Section 4.10(a) below, designate a replacement registered agent or office.

Capitalization of the Company

Members' Names and Addresses. The name and address of each Member, the amount and nature of such Member's Capital Contributions and the number of such Member's Membership Units shall be maintained separately by the Board as the Schedule of Members (Exhibit A). The Company shall cause the Schedule of Members to be amended from time to time to reflect any change in the Membership of the Company or any change in address, Capital Contributions or Membership Units of any Member made in accordance with the terms and conditions set forth in this Agreement. Each such amended Schedule of Members shall supersede all prior Schedules of Members and become part of this Agreement and a copy of the same shall be kept on file at the principal place of business of the Company.

Founding Members. Michael Burroughs, Brian Hughes, and Atreyu Sutton are the founding Members of the Company (each a "Founding Member" and collectively, the "Founding Members") responsible for the

formation and organization of the Company.

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Membership Interests. The Company shall be authorized to sell and issue up to Nine Thousand (9,000) capital units which shall be referred to herein as the "Membership Units." The Members owning issued and outstanding Membership Units shall have the right to vote on all matters submitted to the Members for a vote and shall have all the other rights, privileges and preferences set forth herein; provided, however, that no other dividend, liquidation, anti-dilution, conversion, mandatory redemption or similar rights, privileges or preferences shall be associated with the ownership of Membership Units.

Admission of New Members. Additional Persons may be admitted as Members to the Company only in accordance with the terms and conditions set forth in Article 11 below.

Transferability. No Membership Units may be sold, assigned or otherwise transferred, in whole or in part, except in accordance with the terms and conditions set forth in Article 11 below.

Members

Annual Meeting. No annual meeting of the Members shall be required.

Special Meetings. Special meetings of the Members may be called by any Manager or Member.

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Quorum. A quorum, for purposes of a meeting of the Members, shall consist of the presence (in person or by proxy) of Members collectively holding a majority of the issued and outstanding Membership Units entitled to vote. If a quorum is not represented at any meeting of the Members such meeting may be adjourned for a period not to exceed sixty (60) days at any one adjournment.

Notwithstanding anything to the contrary set forth in Section 3.6(a) above, a Defaulting Member (as defined below) shall not be entitled to vote in connection with any matter submitted to the Members for a vote.

Voting Requirements. (a) Except as set forth elsewhere in this Agreement, if a quorum is present, the affirmative vote of the Members then entitled to vote and collectively holding a majority of the issued and outstanding Membership Interests shall be required to approve any act on the part of the Members, unless otherwise provided by the Act or other applicable law.

EDIT Original: "...If no Member exercises their rights set forth in Section 11.13 below within seventy-five (75) days after the occurrence of a Deadlock, the Board shall commence dissolution of the Company..."

Proposed Edit: "...If no Member exercises their rights set forth in Section 11.13 below within seventy-five (75) days after the occurrence of a Deadlock, the Members shall submit the matter to non-binding mediation with a mutually selected mediator. If mediation does not resolve the deadlock within sixty (60) days, the Members shall submit the matter to binding arbitration in Colorado. The Company shall not be dissolved solely on account of a deadlock unless the Members unanimously agree to dissolution or arbitration results in a dissolution order." **Explanation:** The current draft auto-dissolves the company if no one triggers the buy-sell mechanism within 75 days. That's an extreme default — a temporary disagreement could wipe out the company and my equity if neither side acts in time. What we actually agreed to (agreement-essentials §15) was: good-faith negotiation → mediation → arbitration. Dissolution

should be a last resort that requires unanimous consent, not an automatic trip wire. I don't want Brian and Michael to be able to force a liquidation simply by waiting out a deadlock window. **EDIT**

- In the event of a deadlock or tie in a vote (a "Deadlock") among the Members, the Members shall in good faith attempt to resolve their differences. If after thirty (30) days from the date of such Deadlock, the Members have been unable to resolve their differences, either Member shall be entitled to exercise their respective rights as set forth in Section 11.13 below. If no Member exercises their rights set forth in Section 11.13 below within seventy-five (75) days after the occurrence of a Deadlock, the Board shall commence dissolution of the Company in accordance with the terms and conditions set forth in Article 9 below.

Proxies. A Member may vote either in person or by proxy executed in writing by such Member, or by his, her or its duly authorized attorney in fact.

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Action of Members by Written Consent. Any action required or permitted to be taken at a meeting of the Members may be taken without a meeting if a consent in writing, setting forth the action so taken, shall be signed by such Members collectively holding a majority of the then-outstanding Membership Units.

Action by Electronic Means. The Members may participate in any meeting of the Members by means of conference telephone or similar communications equipment by which all Persons participating in the meeting can hear each other at the same time. Notice of any such meeting to be conducted by conference telephone or similar equipment shall be given to a Member in person or by telephone at least one (1) day prior to the time fixed for such meeting. Such participation shall constitute presence in person at such meeting.

EDIT Original: "The Founding Members shall...perform or cause to be performed such services on behalf of the Company (the 'Service Obligations')...each as determined from time to time by the resolution of the Board." **Proposed Edit:** [DECISION REQUIRED — see explanation] Replace with: "The Founding Members shall perform the services described in Schedule B (Roles and Responsibilities) attached hereto and incorporated herein by reference. Schedule B shall set forth each Founding Member's primary responsibilities and may be amended only by unanimous written consent of the Founding Members."

Explanation: The current draft leaves my Service Obligations entirely undefined — the Board decides "from time to time" what I must do. That means Brian and Michael can expand my obligations by majority vote without my agreement, and then declare me in Default for not meeting a standard that was never written down when I signed. Our essentials (§4) had detailed per-person roles — those should be in a referenced Schedule so there's a written baseline everyone agreed to. **EDIT**

Service Obligations of the Founding Members. (a) The Founding Members shall, for so long as each of them owns his, her or its respective Membership Interests, perform or cause to be performed such services on behalf of the Company (the "Service Obligations") in consideration of such compensation (the "Service Compensation"), each as determined from time to time by the resolution of the Board adopted in accordance with Section 4.10(a) below.

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EDIT Original: "...all intellectual property work product related to the Company Business (as defined below) that each Member conceives, creates, develops or reduces to practice, in whole or in part..." **Proposed Edit:** "...all intellectual property work product created specifically for CMM's actively operating marketplace

shall be Company Intellectual Property, including: the Classic Motor Market platform, brand assets, trademarks, domains, production codebases, customer data, and proprietary workflows built for CMM's current operations (the 'Company Intellectual Property'), are 'works for hire.' Company Intellectual Property is strictly limited to work created during time expressly dedicated to CMM that directly serves CMM's currently active products and services. For the avoidance of doubt, Company Intellectual Property does NOT include: (i) work created outside of CMM-dedicated time; (ii) general-purpose code libraries, frameworks, reusable components, or development patterns not built exclusively for CMM; (iii) skills, experience, and know-how; or (iv) any work conceived or developed in connection with a Separate Permitted Venture (as defined below). The broad definition of 'Company Business' in this Agreement describes the scope of CMM's potential market — it does not expand the IP assignment clause to cover work I create in areas CMM has not yet entered or is not currently operating." **Explanation:** My concern here is concurrent and future work — not previous code. The way this is currently written, anything I build that could relate to vehicles, boats, aircraft, or bikes belongs to CMM just because the 'Company Business' definition is written to cover all of those. That's a land grab on my future work using a definition that was written to protect CMM's expansion potential, not to claim my independent projects. I need the IP assignment to be tied to what I actually build FOR CMM's current marketplace, not to what CMM might someday enter. If I'm building something that isn't competing with what CMM is actively doing right now, it's mine. **EDIT**

The Members recognize and acknowledge that all intellectual property work product related to the Company Business (as defined below) that each Member conceives, creates, develops or reduces to practice, in whole or in part, including all "works of original authorship," inventions, improvements, enhancements, designs, ideas, formulae, processes, techniques, discoveries, or know-how related to the Company Business, whether or not patentable or copyrightable (the "Company Intellectual Property"), are "works for hire".

EDIT Original: "...any work product...in connection with any separate permitted venture (the 'Separate Intellectual Property') shall not be deemed to be 'Company Intellectual Property'..." [The term "separate permitted venture" is never defined anywhere in the document.] **Proposed Edit:** Replace with: "Notwithstanding the foregoing, the Members acknowledge and agree that: (a) any work product conceived, developed, created, or reduced to practice by any Member in connection with any Separate Permitted Venture (the 'Separate Intellectual Property') shall not be deemed 'Company Intellectual Property'; (b) personal contact lists, professional networks, and industry relationships belonging to any Member are not Company Intellectual Property regardless of whether those contacts become customers or vendors of the Company; and (c) a departing Member may build a new product from scratch in any industry — including automotive — provided such Member does not copy Company source code, use Company confidential information, or launch a product that directly replicates CMM's currently active marketplace operations ('Rebuild Provision'). A 'Separate Permitted Venture' means any business, project, or endeavor: (i) that does not directly compete with CMM's currently active marketplace operations; (ii) that does not use Company Confidential Information; and (iii) that does not use Company source code or CMM customer data. Whether a venture 'directly competes' is evaluated against what CMM is actually operating at the time — not against the broad 'Company Business' definition." **Explanation:** The term 'Separate Permitted Venture' appears in the original as a carve-out but is never defined — which makes it worthless. Without a definition, anything I build could be claimed as Company IP because there's no legal standard for what a 'separate permitted venture' actually is. My bigger concern here isn't previous code — it's concurrent and future projects. I need a clear definition that ties the competition test to what CMM is actually doing, not what the broad definition says CMM could someday do. The Rebuild Provision is also critical: I need to be

able to build something new after leaving, even in automotive, as long as I'm not cloning CMM's current marketplace. **EDIT**

Notwithstanding the foregoing, the Members acknowledge and agree that any work product that is conceived, developed, created and reduced to practice by any Member in connection with any separate permitted venture (the "Separate Intellectual Property") shall not be deemed to be "Company Intellectual Property" for purposes of this Agreement.

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The Members acknowledge and agree that the Company Intellectual Property shall become and remain the sole and exclusive property of the Company shall be the sole owner of all patents, copyrights and other rights in connection therewith throughout the world (collectively, "Company Proprietary Rights"). Each Member hereby assigns all of his, her or its rights, title and interest in and to any and all Company Intellectual Property and Company Proprietary Rights to the Company. Each Member hereby waives and forever discharges any moral rights and claims for infringement, misappropriation, breach of contract or other cause of action he, she or it may have against the Company arising from its use of all Company Intellectual Property and Company Proprietary Rights.

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Upon the Company's reasonable request and expense, each Member shall assist the Company in obtaining and enforcing Company Proprietary Rights relating to any Company Intellectual Property. Each Member shall execute and deliver such documents and take such additional actions as the Company may reasonably request and at the Company's expense in connection with the Company's efforts to obtain, perfect, maintain and enforce such Company Proprietary Rights and the assignment thereof. Each Member's obligation to assist the Company with respect to Company Proprietary Rights relating to such Company Intellectual Property shall survive the sale, assignment, liquidation, or other divestment of the Membership Interest related to such Member, provided that the Company shall reimburse such Member for any direct out-of-pocket expenses actually incurred in connection with rendering such assistance.

Other Business Transactions with the Company. Upon the approval of the Board, each Member or any other entity in which such Member is an owner, stockholder, member, officer, director, employee, agent or representative may transact business with the Company from time to time to provide professional and other services, materials, inventory, goods and/or deliverables for the benefit of the Company, including entering into any licensing, professional services or similar agreements between the Company and such Member.

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EDIT Original: "...for the period commencing on the date of this Agreement and expiring one (1) year after the effective date of the earlier of either the termination of such Member's Service Obligations or the redemption of the Membership Interest..." **Proposed Edit:** "...for the period commencing on the date such Member's active Service Obligations terminate and expiring one (1) year after such date (the 'Restricted Period')..." **Explanation:** The non-compete currently starts on the date I sign this agreement, not the date I leave. That means the restricted period clock starts running today, even though I'm still actively working for CMM. The one-year post-departure window is fine — but it should start when I actually leave, not when I sign. Also, the non-compete applies "with or without cause" — so even if I'm wrongfully forced out, the full restriction hits me. That's not acceptable. If I'm removed without cause, I shouldn't be penalized on top of that. **EDIT**

Covenant not to Compete or Solicit. Each Member agrees that the Company's loss of his, her or its services, or a competitor of the Company's receipt of his, her or its services, may result in irreparable harm to the Company. Therefore, in order to prevent unfair competition by any Member or the Company's competitors, each Member agrees that for the period commencing on the date of this Agreement and expiring one (1) year after the effective date of the earlier of either the termination of such Member's Service Obligations or the redemption of the Membership Interest related to such Member, as applicable, with or without cause (the "Restricted Period"), such Member shall not do any of the following:

EDIT Original: "Participate or engage, directly or indirectly, in any business that directly competes with the Company Business." [where "Company Business" is defined broadly to include boats, aircraft, motorcycles, bicycles, and all wheeled or motorized vehicles — meaning the non-compete covers all of that, not just CMM's actual marketplace] **Proposed Edit:** "Participate or engage, directly or indirectly, in operating a curated online paid marketplace for classic or enthusiast automobiles that directly competes with CMM's currently active marketplace operations. 'Directly competes' means targeting the same seller and buyer segment with a substantially similar marketplace product to what CMM is actively operating at the relevant time. This restriction does not prohibit any Member from: (i) working in automotive software, engineering, or technology in any capacity that is not a direct marketplace competitor; (ii) building software platforms, tools, or applications in any industry; (iii) working in aviation, marine, motorcycle, bicycle, or any other vehicle or mobility sector; (iv) building or joining a company in any space CMM has not yet entered or is not currently operating in; or (v) working as an employee, contractor, consultant, or investor in any adjacent industry." **Explanation:** The non-compete as written uses 'Company Business' as the competitive boundary — but that definition covers boats, aircraft, motorcycles, and every wheeled vehicle, not just the classic car marketplace we actually built. That's not a fair reflection of what I agreed not to compete with. I'm fine not running a direct competitor to CMM's actual current marketplace while I'm a member and for a year after I leave. What I'm not okay with is being blocked from automotive software, adjacent tech, or industries CMM hasn't entered just because a lawyer wrote a broad definition. The restriction should follow what CMM actually does, and if CMM expands into new areas in the future, that's when those areas become relevant — not before. **EDIT**

Participate or engage, directly or indirectly, in any business that directly competes with the Company Business.

Canvass, solicit, or accept, or aid or assist any other person or entity in any effort to canvass, solicit or accept, any business from any then-current customers of the Company (the "Customers").

Directly or indirectly request or advise any Customers, vendors, suppliers, contractors or employees of the Company to withdraw, curtail, cancel or not engage in business with the Company.

Directly or indirectly disclose to any other person or entity the names of Customers. The Members agree that the names of the Customers are confidential and proprietary and constitute trade secrets of the Company within the meaning of C.R.S. § 8-2-113(2)(b) and C.R.S. § 7-74-102(4).

EDIT Original: "Disparage the Company or their respective conditions of employment." **Proposed Edit:** Remove this provision entirely, or narrow to: "Make false and defamatory statements of fact about the Company with knowledge of their falsity." **Explanation:** A blanket ban on "disparaging the Company or conditions of employment" means I can't honestly talk about my experience, my work conditions, or why I left — even after I'm gone. That seems excessive. Narrowing this to actually false defamatory statements is fair — and I think that's illegal anyway. I'd never want to lie regardless. **EDIT**

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Disparage the Company or their respective conditions of employment.

Equitable Relief. Each Member acknowledges and agrees that the restrictions set forth in Sections 3.11, 3.14, and 3.15 above are reasonable and necessary to protect the legitimate interests of the Company, and that such Member's violation or default in the performance of his, her or its obligations as set forth in Sections 3.11, 3.14, and 3.15 above will result in irreparable injury to the Company. Each Member also acknowledges and agrees that the Company shall be entitled to specific performance of the terms and conditions set forth in Sections 3.11, 3.14, and 3.15 above and to preliminary and permanent injunctive relief relating to such provisions, which rights shall be cumulative and in addition to any other rights or remedies to which the Company may be entitled. The Company shall not be required to post a bond or to show special damages in any proceeding seeking any such equitable relief.

Founder Reverse Vesting. (a) Notwithstanding anything to the contrary contained in this Agreement, the Membership Units issued to each Founding Member (the "Founder Units") shall be subject to a reverse vesting restriction for a period of two and one half (2.5) years beginning on the Effective Date of this Agreement (the "Vesting Period"). During the Vesting Period, a portion of each Founding Member's Founder Units shall be subject to forfeiture as provided in this Section.

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Upon the expiration of the Vesting Period, one hundred percent (100%) of the Founder Units shall be deemed fully vested and shall no longer be subject to forfeiture under this Section based solely on tenure or continued service.

If a Founding Member voluntarily terminates his or her Service Obligations, ceases to materially contribute to the business of the Company, or otherwise departs the Company for any reason prior to the expiration of the Vesting Period (an "Early Departure"), fifty percent (50%) of such Founding Member's Founder Units shall automatically and immediately be forfeited to the Company without the payment of any consideration. Any Founder Units forfeited pursuant to this Section shall automatically be cancelled and returned to the Company for reissuance.

EDIT Original: [No Good Leaver waiver mechanism exists — the 50% forfeiture is automatic for ALL departures without exception] **Proposed Edit:** Add after the forfeiture clause: "Notwithstanding the foregoing, upon written request by the departing Founding Member, the remaining Founding Members shall review the circumstances of an Early Departure and may waive some or all of the foregoing forfeiture by majority vote (i.e., both remaining Founding Members) if they determine in good faith that such departure qualifies as a 'Good Leaver' event. A 'Good Leaver' event includes departure due to: (i) serious health reasons or disability; (ii) family relocation requiring departure from the region; (iii) mutual agreement of the remaining Members; (iv) role redundancy as reasonably determined by the remaining Members; or (v) other compelling circumstances determined by the remaining Members in good faith. If the remaining Members cannot agree on Good Leaver status, the departing Member may submit the determination to binding arbitration in Colorado. In the event of a Good Leaver determination, the Company or remaining Members shall have the option to repurchase the vested equity at fair market value as determined by an independent appraiser. Absent a Good Leaver determination (by agreement or arbitration), the automatic forfeiture provisions of this Section shall apply." **Explanation:** The current draft makes the 50% forfeiture automatic for any early departure, no exceptions. That means if I leave because of a serious health issue, a family emergency, or anything else completely outside my control, I lose half my equity with no recourse. We

*deliberately negotiated a Good Leaver review into our essentials (§10) and the lawyer simply dropped it. I need the ability to request a review and have the remaining founders make a good-faith determination — and if they can't agree, I can take it to arbitration. The forfeiture is appropriate as a default, but there has to be a path for legitimate circumstances. **EDIT***

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The Members acknowledge and agree that the Company is highly dependent on the continued contributions of the Founding Members during the early stages of the Company's development and that an early departure would materially harm the Company. Accordingly, the forfeiture provisions contained in this Section are intended as a reasonable and necessary protection for the Company and the remaining Members.

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Member Default. a) "Default" on the part of a Member (the "Defaulting Member") occurs if he, she or it:

EDIT Original: *"commits acts of gross negligence or willful misconduct that are likely to materially harm the Company Business, any other Members and/or any Customers."* **Proposed Edit:** *"commits acts of willful misconduct that are likely to materially harm the Company Business, any other Members, and/or any Customers; provided, however, that no Default based on alleged gross negligence shall be deemed to occur unless: (i) the non-defaulting Founding Members provide written notice specifically describing the acts constituting such gross negligence; (ii) the accused Member has thirty (30) days to cure or respond in writing; and (iii) the remaining Founding Members unanimously agree in writing that the conduct constitutes gross negligence after reviewing the response."* **Explanation:** *"Gross negligence" is completely subjective — any technical judgment call I make (architecture decisions, security trade-offs, feature timelines) could be labeled gross negligence. There's no written notice, no cure period, no evidence standard required before this Default trigger fires. Brian and Michael could disagree with a technical direction I chose, call it gross negligence, and use that to start a forced buyout. I need this to require written notice, a cure period, and unanimous agreement — the same standard every other Default trigger has. **EDIT***

- *commits acts of gross negligence or willful misconduct that are likely to materially harm the Company Business, any other Members and/or any Customers.*
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- *commits any acts of dishonesty or theft related to the property of the Company.*
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- *violates his, her or its fiduciary duty or duty of loyalty to the Company.*
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- *commits a material violation or defaults in connection with the performance any of his, her or its Service Obligations or any other obligations set forth herein, including without limitation, the obligations set forth in Sections 3.11, 3.14, and/or 3.15 above.*
- *is declared to be in default under any other agreement by and between such Member and the Company.*

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- *is convicted of or pleads guilty to a felony or misdemeanor involving moral turpitude if, in the reasonable discretion of the Board, such conduct or conviction does or will injure, impair, or harm the Company, any other Members and/or any Customers.*
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Limitation of Liability. (a) The liability of each Member for losses and debts of the Company or for obligations or liabilities thereof of any kind or nature shall in no event exceed the aggregate Capital Contributions made by such Member to the Company.

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The Company's failure to observe the formalities or requirements relating to the management of its business or affairs shall not, by itself, render the Members liable for the obligations or liabilities of the Company.

A Member shall not be liable to the Company upon the rightful return of the Member's Capital Contribution, notwithstanding any creditor's extension of credit to the Company during the period between when such contributions were made and when the same were returned by the Company.

Indemnification. The Company shall defend, indemnify and hold harmless every Member: (a) for payments made and individual liabilities reasonably incurred by such Member on behalf of the Company in the ordinary course and proper conduct of the Business, or in the preservation of the Business or the Company's property; or (b) in the event of any loss, liability or claim against any Member relating to the activities of the Company; provided, however, that the Company shall not be required to defend, indemnify and hold harmless a Member hereunder if such Member's conduct was: (i) not undertaken in good faith to promote the best interest of the Company; (ii) reckless; or (iii) such Member engaged in willful misconduct; and, provided further, that such indemnity shall be limited to the total assets of the Company as of the date of such claim for indemnification is made by the applicable Member.

Management, Duties and Restrictions

Powers. The property and business of the Company shall be managed by a Board of Managers (the "Board"), each of whom shall be a natural person eighteen (18) years of age or older but need not be Members of the Company or residents of the State of Colorado. Except as set forth elsewhere herein, the Board may exercise all such powers and do all such lawful acts and things as are not prohibited by the

Act, other applicable law, the Articles or this Agreement.

Number, Election, Tenure and Qualification. The Members hereby agree that the Board shall initially be comprised of three (3) Managers who shall be the Founding Members. The number of Managers comprising the Board shall be fixed from time to time by the affirmative vote of the Members in accordance with Section 3.7 above. No decrease in the number of Managers shall have the effect of shortening the term of any incumbent Manager. Each Manager shall serve until he or she resigns or is removed in accordance with the terms of this Agreement.

EDIT Original: "If a Defaulting Member's Units are redeemed in accordance with the provisions of Article 11 below, any Manager associated with such Defaulting Member shall automatically be removed from the Board without the need for a vote of the Members." [This is the ONLY removal mechanism in the document]

Proposed Edit: Add a new section before or after this clause: "Removal for Cause. No Founding Member may be removed as a Manager except for Cause. 'Cause' shall be strictly limited to: (i) fraud; (ii) criminal conduct involving moral turpitude; (iii) willful misconduct materially harmful to the Company; (iv) material breach of this Agreement following written notice and failure to cure within thirty (30) days; or (v) misappropriation of Company assets or intellectual property. Removal for Cause shall require the unanimous written consent of the non-impacted Founding Members. Removal of a Founding Member as Manager without Cause is expressly prohibited. A Founding Member removed for Cause shall be subject to the Bad Leaver provisions of this Agreement." **Explanation:** There's no standalone protection in this draft against being removed as a Manager without cause. The only removal mechanism is automatic — after a Default redemption. But who triggers that Default? Brian and Michael, by majority vote. So they can declare me in Default using vague grounds like "gross negligence" or undefined Service Obligations, vote to redeem my units, and automatically remove me from the Board — all without any independent Cause determination. Our essentials (§20) explicitly prohibited this and defined Cause narrowly. I need that protection in the agreement before I sign it. **EDIT**

Removal. If a Defaulting Member's Units are redeemed in accordance with the provisions of Article 11 below, any Manager associated with such

Defaulting Member shall automatically be removed from the Board without the need for a vote of the Members.

Vacancies. Any vacancy on the Board (including a vacancy resulting from an increase in the number of Managers comprising the Board) shall be filled by an affirmative vote of the Members in accordance with Section 3.7 above. A Manager elected to fill such a vacancy shall serve for the unexpired term of his or her predecessor in office, and a Manager elected to fill a position resulting from an increase in the number of Managers shall hold office until the earlier of (a) his or her successor is elected and qualified; or (b) his or her earlier death, resignation or removal.

Quorum. A quorum, for purposes of a meeting of the Board, shall consist of the presence (in person or by proxy) of all of the Managers except for any Manager suspended from the Board.

Voting Requirements. (a) Except as set forth in Sections 4.10(b) and (c) below, if a quorum is present the majority vote of all the Managers on a per capita basis shall constitute an act of the Board with respect to all matters submitted to the Board for approval; provided, however, in the event any Manager is a Defaulting Member or the Board Nominee of a Defaulting Member, such Manager shall be automatically removed from the Board and all decisions of the Board shall be voted upon by the remaining Managers.

Notwithstanding anything to the contrary set forth in Sections 4.10(a) above, the unanimous vote of the Board shall be required to:

Amend the Articles or this Agreement.

Authorize, sell or otherwise transfer any equity securities of the Company below) that have rights,

privileges and/or preferences that are superior to the Membership Units.

Sell or dispose of all or substantially all of the assets of the Company or the Membership Interests in one transaction or series of related transactions.

- Cause the Company to incur debt in excess of \$100,000 in one transaction or a series of related transactions.
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- Authorize the reorganization, recapitalization, merger or dissolution of the Company.
- Admit any additional persons as Members.
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- Require Members to contribute additional capital to the Company pursuant to Section ## below.

Notwithstanding anything to the contrary set forth in Section 4.10(a) above, the Board hereby delegates to each Manager acting alone the authority to execute the then-current investment and asset management strategy such that he or she shall be vested with the individual authority to incur, create or assume trade debt and liabilities and authorize expenditures and contractual commitments on behalf of the Company in a single or series of related transactions in the ordinary course of the Company's business, **EDIT Original:** "...no Manager shall spend or authorize spending more than \$300 without the majority approval of the Board." **Proposed Edit:** "...no Manager shall spend or authorize spending more than \$500 without the majority approval of the Board." **Explanation:** We agreed on \$500 in our essentials (§5). **EDIT**

provided, however, that no Manager shall spend or authorize spending more than \$300 without the majority approval of the Board.. In addition, each Manager shall have the individual authority to further delegate any of the authority delegated to him or her in this Section 4.10(c) to such other Officers and such other representatives of the Company as determined by him or her in his or her reasonable discretion.

Action of Board by Written Consent. Any action required or permitted to be taken by the Board or by a committee thereof at a meeting may be taken without a meeting if a consent in writing, setting forth the action so taken, shall be signed by all of the Managers entitled to vote with respect to the subject matter thereof.

Action by Electronic Means. The Managers may participate in any meeting of the Board by means of conference telephone or similar communications equipment by which all Persons participating in such meeting can hear each other at the same time. Notice of any such meeting to be conducted by conference telephone or similar equipment shall be given to a Manager in person or by telephone at least one (1) hour prior to the time fixed for such meeting. Such participation in such meeting shall constitute presence in person at such meeting.

Officers. (a) The officers of the Company (the "Officers") may consist of a Chief Executive Officer, President, Chief Operating Officer, Vice Presidents, Secretary and Treasurer, each of whom shall be appointed by the Board. The Board or the Chief Executive Officer, acting on his or her own authority, may appoint such other Officers and assistant Officers as are deemed necessary or desirable. Any two (2) or more offices may be held by the same person. Officers shall be natural persons eighteen (18) years of age or older, but they shall not be required to be residents of the State of Colorado.

The Officers shall perform such duties and have such obligations to the Company as determined from time to time by the Board or as may be set forth in any agreement between the Company and such Officers.

The Officers shall hold office until their successors are appointed and qualified.

Any Officer or other agent of the Company may be removed at any time by the Board, but such removal shall be without prejudice to the contract rights, if any, of the person so removed; provided, however, the appointment of an Officer or agent shall not, of itself, create any such contract rights.

Whenever any vacancy shall occur in any office by death, resignation, increase in number of Officers or otherwise, the same shall remain vacant unless and until filled by the resolution of the Board adopted in accordance with Section 4.10(a) above and the Officer so appointed shall hold office until his or her successor is appointed and qualified.

Indemnification. In the event of any loss, liability or claim against any Manager relating to the activities of the Company, the Company shall defend, indemnify and hold harmless such Manager for any such loss, liability and claim, including reasonable attorneys' fees; provided, however, that the Company shall not be required to defend, indemnify and hold harmless such Manager hereunder if such Manager's conduct was: (a) not undertaken in good faith to promote the best interest of the Company; (b) was reckless such that any Person or Persons incurred tangible financial damage; or (c) such Manager engaged in willful misconduct; and, provided further, that such indemnity shall be limited to the total assets of the Company

(including unpaid Capital Contributions of the Members) valued as of the date of such claim for indemnification is made by such Manager.

Limitation of Liability. Notwithstanding anything to the contrary set forth herein, no Manager shall be liable to any Member or the Company for honest mistakes in judgment or for action or inaction, taken in good faith for a purpose that was reasonably believed to be in the best interests of the Company, or for losses due to such mistakes, action or inaction, or to the negligence, dishonesty or bad faith of any employee, consultant, subcontractor, representative, agent or broker of the Company, provided that the same were selected, engaged or retained and were supervised with reasonable care.

Capital

Capital Accounts. The Company shall maintain an individual Capital Account (as defined below) for each Member.

Capital Contributions of the Members. Each Member has advanced an initial capital contribution to the Company in the amount set forth opposite such Member's name on the Schedule of Members (each such amount, the "Capital Contributions" for such Member).

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Interest on and Return of Capital Contributions. No Member shall receive any interest on his, her or its Capital Contributions. Notwithstanding the foregoing, any Member may extend a loan to the Company subject to such terms and conditions agreed upon between such Member and the Company and interest paid on such loans shall not be deemed interest upon a contribution of capital to the Company.

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No Capital Calls. Except as may be otherwise set forth in any other agreement between the Company and a Member, no Member shall be required to make additional Capital Contributions to the Company

Company Allocations of Profits and Losses

Determination of Profits. The Company's Profits (as defined below) and/or Losses (as defined below) shall be determined by the Company's bookkeepers in accordance with applicable accounting and tax principles.

Profits. After giving effect to the special and curative allocations set forth in Sections 6.4 and 6.5 below, Profits for any fiscal year shall be allocated to the Members as follows:

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First, to the Members in proportion to Losses previously allocated to each of them until the amount of Profits so allocated equal the amount of such Losses; and

Second, to the Members in proportion to the distributions actually received by the Members in accordance with the terms and conditions set forth in Article 8 below.

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Losses. (a) After giving effect to the special and curative allocations set forth in Sections 6.4 and 6.5 below, Losses for any fiscal year shall be allocated to the Members in accordance with their respective Capital Contribution Percentage Interests (as defined below), subject to the limitations set forth in Section 6.3(b) below.

The Losses allocated pursuant to Section 6.3(a) above shall not exceed the maximum amount of Losses that can be so allocated without causing a Member to have an Adjusted Capital Account Deficit (as defined below) at the end of any fiscal year. In the event some but not all of the Members would have Adjusted Capital Account Deficits as a consequence of an allocation of Losses pursuant to Section 6.3(a) above, the limitation set forth in this Section 6.3(b) shall be applied on a Member by Member basis so as to allocate the maximum permissible Losses to each Member under Section 1.704-1(b)(2)(ii)(d) of the Regulations.

Special Allocations. The following special allocations shall be made in the following order:

Guaranteed Payment Distributions. Guaranteed Payment Distributions (as defined below) shall be allocated as taxable income to the applicable Members receiving the same.

Minimum Gain Chargeback. Except as otherwise provided in Section 1.704-2(f) of the Regulations, and notwithstanding any other provision of this Article 6, if there is a net decrease in Company Minimum Gain (as defined below) during any fiscal year, each Member shall be specially allocated items of Company income and gain for such fiscal year (and, if necessary, subsequent fiscal years) in an amount equal to such Member's share of the net decrease in Company Minimum Gain, determined in accordance with Section 1.704-2(g) of the Regulations. Allocations pursuant to the previous sentence shall be made in proportion to the respective amounts required to be allocated to each Member pursuant thereto. The items to be so allocated shall be determined in accordance with Sections 1.704-2(f)(6) and 1.704-2(j)(2) of the Regulations. This Section 6.4(b) is intended to comply with the minimum gain chargeback requirement in Section 1.704-2(f) of the Regulations and shall be interpreted consistently therewith.

Qualified Income Offset. In the event any Member unexpectedly receives any adjustments, allocations or distributions described in Sections 1.704-1(b)(2)(ii)(d)(4), (5) or (6) of the Regulations, items of Company income and gain shall be specially allocated to each such Member in an amount and manner sufficient to eliminate, to the extent required by the Regulations, the Adjusted Capital Account Deficit of such Member as quickly as possible, provided that an allocation pursuant to this Section 6.4(c) shall be made if and only to the extent that such Member would have an Adjusted Capital Account Deficit after all other allocations provided for in this Article 6 have been tentatively made as if this Section 6.4(c) were not in the Agreement.

Gross Income Allocation. In the event any member has a deficit Capital Account at the end of any Company fiscal year that is in excess of the sum of: (i) the amount such Member is obligated to restore; (ii) the amount such Member is deemed to be obligated to restore pursuant to the penultimate sentences of Sections 1.704-2(g)(1) and 1.704-2(i)(5) of the Regulations; and (iii) the amount such Member would be deemed obligated to restore if Member Loan Nonrecourse Deductions (as defined below) were treated as Nonrecourse Deductions, each such Member shall be specially allocated items of Company income and gain in the amount of such excess as quickly as possible, provided that an allocation pursuant to this Section 6.4(d) shall be made if and only to the extent that such Member would have a deficit Capital Account in excess of such sum after all other allocations provided for in this Article 6 have been tentatively made as if Section 6.4(c) above and this Section 6.4(d) were not in the Agreement.

Member Loan Nonrecourse Deductions. Any Member Loan Nonrecourse Deductions for any fiscal year or other period shall be allocated to the Member who bears the risk of loss with respect to the loan to which

such Member Loan Nonrecourse Deductions are attributable in accordance with Section 1.704-2(b)(1) of the Regulations.

Section 754 Adjustment. To the extent an adjustment to the adjusted tax basis of any Company asset pursuant to Code Section 734(b) or Code Section 743(b) is required, pursuant to Section 1.704-1(b)(2)(iv) (m) of the Regulations, to be taken into account in determining Capital Accounts, the amount of such adjustment to the Capital Accounts shall be treated as an item of gain (if the adjustment increases the basis of the asset) or loss (if the adjustment decreases such basis) and such gain or loss shall be specially allocated to the Members in a manner consistent with the manner in which their Capital Accounts are required to be adjusted pursuant to such Section of the Regulations.

Imputed Interest. To the extent the Company has taxable interest income with respect to any promissory note pursuant to Section 483 or Sections 1271 through 1288 of the Code:

such interest income shall be specially allocated to the Member to whom such promissory note relates; and the amount of such interest income shall be excluded from the Capital Contributions credited to such Capital Account in connection with payments of principal with respect to such promissory note.

Curative Allocations. The allocations set forth in Sections 6.4(b), 6.4(c) and 6.4(d) above (the "Regulatory Allocations") are intended to comply with certain requirements of the Regulations. It is the intent of the Members that, to the extent possible, all Regulatory Allocations shall be offset either with other Regulatory Allocations or with special allocations of other items of Company income, gain, loss or deduction pursuant to this Section 6.5. Therefore, notwithstanding any other provision of this Article 6 (other than the Regulatory Allocations), the Company shall make such offsetting special allocations of Company income, gain, loss or deduction in whatever manner they determine appropriate so that, after such offsetting allocations are made, each Member's Capital Account balance is, to the extent possible, equal to the Capital Account balance such Member would have had if the Regulatory Allocations were not part of the Agreement and all Company items were allocated pursuant to Sections 6.2 and 6.3 above.

Other Allocation Rules. (a) For purposes of determining the Profits, Losses or any other items allocable to any period, Profits, Losses and any such other items shall be determined on a daily, monthly or other basis, as determined by the Board using any method permissible under Code Section 706 and the Regulations thereunder.

Except as otherwise provided in this Agreement, all items of Company income, gain, loss, deduction and any other allocations not otherwise provided for shall be divided among the Members in the same proportions as they share Profits or Losses, as the case may be, for the year.

The Members are aware of the income tax consequences of the allocations made by this Article 6 and hereby agree to be bound by the provisions of this Article 6 in reporting their shares of Company income and loss for income tax purposes.

Section 704(c) Allocations. (a) In accordance with Code Section 704(c) and the Regulations thereunder, income, gain, loss and deduction with respect to any asset contributed to the capital of the Company shall, solely for tax purposes, be allocated among the Members so as to take account of any variation between the adjusted basis of such property to the Company for federal income tax purposes and its initial Adjusted Asset Value (as defined below).

In the event the Adjusted Asset Value of any Company asset is adjusted pursuant to the terms of this Agreement, subsequent allocations of income, gain, loss and deduction with respect to such asset shall take into account any variation between the adjusted basis of such asset for federal income tax purposes and its Adjusted Asset Value in the same manner as under Code Section 704(c) and the Regulations thereunder.

Partnership Representative. (a) Each Member shall do or refrain from doing any or all things reasonably requested by the Company with respect to the conduct of any examinations of the Company's affairs by tax authorities, including resulting administrative and judicial proceedings; provided, however, that no Member shall be required to file any amended tax returns. It is the intent of the Members and the Company to minimize any obligations of the Company to pay taxes and interest in connection with any audit of the Company required under the Code. Accordingly, the Company as determined within the discretion of the Partnership Representative (as defined below) may elect pursuant to Code Section 6226 (or Code Section 6227(b), as applicable), including without limitation, following any procedures required in connection with any such election, to make inapplicable to the Company the requirement in Code Section 6225 (or any similar rule) that the Company pay any "imputed underpayment" (as that term is used in Code Section 6225), interest, penalties, additions to tax or other liabilities under the Revised Partnership Audit Procedures, and take any other actions necessary to minimize or avoid any payment by the Company. Notwithstanding the foregoing, if the Company becomes liable for any amounts under or on account of the Revised Partnership Audit Procedures (whether under law, by contract or otherwise) each current and former Member shall reimburse, protect, indemnify, and hold harmless the Company and the other Members from and against any liability with respect to such Member's share of any such liability of the Company (as equitably determined by the Board in consultation with the tax return preparer of the Company) arising from any reviewed year in which such Member was a Member of the Company, whether or not such Member remains a Member of the Company at the time of such assessment. A Member's obligations to comply with the requirements of this Section 6.8 shall survive the sale, redemption or other disposition of such Member's Membership Interest and/or termination, dissolution, liquidation and winding up of the Company, and, for purposes of this Section 6.8, the Company shall be deemed to have continued in existence.

EDIT Original: "<> is hereby designated the 'Partnership Representative' of the Company..." **Proposed Edit:** "Michael Burroughs is hereby designated the 'Partnership Representative' of the Company..."

Explanation: Michael handles daily business and financial operations per our essentials (§4), so he's the right person to interface with the IRS. The Partnership Representative has broad authority to bind all of us in audit proceedings, tax elections, and settlements — including after someone has left the company. This blank must be filled before we sign, and Michael is the logical choice given his role. **EDIT**

<> is hereby designated the "Partnership Representative" of the Company within the meaning of the Revised Partnership Audit Procedures, provided that the Board may at any time hereafter designate any other Person to be the Partnership Representative by a resolution adopted in accordance with Section 4.10(a) above, provided that such Person is qualified to serve in such capacity under the Revised Partnership Audit Procedures. The Partnership Representative shall have all the powers and responsibilities associated with such position as contemplated in the Code. Without limiting the generality of the foregoing, the Partnership Representative shall have the power to manage and control, on the Company's behalf, any administrative proceeding with the Internal Revenue Service or with any other governmental entity relating to the determination of any item of Company income, gain, loss, deduction, or credit for federal, state or local tax purposes, including, without limitation, any determinations or elections with respect to the

allocation of audit adjustment related taxes among Members or former Members, and the entry into audit proceedings and any tax-related elections, settlements or agreements related thereto on behalf of the Company and the Members, which shall be binding on the Company and each Member, provided that such determination or election, in each case, is undertaken reasonably and in good faith and in accordance with this Agreement and applicable law.

Expenses

All expenses incurred in connection with the formation, organization and operation of the Company shall be paid by the Company or reimbursed by the Company to the applicable Person incurring the same on behalf of the Company (including without limitation, salaries, wages and fees of lawyers, accountants and other professionals).

Payments and Distributions to and Withdrawals by Members

Withdrawals by Members. No Member may withdraw any assets or money from the Company in the absence of the consent of the Board by resolution adopted in accordance with Section 4.10(a) above.

Guaranteed Payment Distributions. Without regard to the income of the Company, on a periodic basis in accordance with the terms and conditions set forth in any agreement(s) between the Company and the applicable Member(s), the Company shall distribute to the applicable Member(s) an amount of cash (each a "Guaranteed Payment Distribution") equal to such compensation payable to such Member(s) in connection with their performance of services on behalf of the Company. Guaranteed Payment Distributions shall be deemed to be "guaranteed payments" pursuant to Section 707(c) of the Code and shall reduce income or increase loss, as applicable, otherwise allocable to Members.

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Profits Distributions. To the extent available from the Company's then-current cash flow as determined by a resolution of the Board adopted in accordance with Section 4.10(a) above, on each Distribution Date, the Company shall distribute to each Member a distribution (a "Profits Distribution") equal to such Member's Vested Percentage Interest (as defined below).

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Tax Distributions. In the event the Company does not make Profits Distributions during any fiscal year in an amount that exceeds forty percent (40%) of the taxable income allocated to all Members' Capital Accounts, to the extent available from the Company's then-current cash flow, as determined by a resolution of the Board adopted in accordance with Section 4.10(a) above, and provided that as of such date all Operating Liabilities that have accrued have been satisfied in full, promptly at the end of each calendar year (and in no event later than ninety (90) days after the end of each calendar year), the Company shall distribute to each Member an amount of cash of the Company (a "Tax Distribution") equal to forty percent (40%) of the taxable income allocated to such Member's Capital Account during the fiscal year then ended.

Dissolution and Liquidation of the Company

Dissolution. The Company shall be dissolved as determined by the Board by a resolution adopted in accordance with Section 4.10(b)(v) above.

Dissolution Procedures. In the event of any liquidation, dissolution or winding up of the Company, either voluntary or involuntary (a "Liquidation Event"):

the affairs of the Company shall be wound up and terminated in accordance with the directions of the Board.

the proceeds of liquidation of the Company's assets shall be distributed by the Company in satisfaction of its liabilities in the following order:

to satisfy the then due and payable Operating Liabilities in the order of priority established by law, either by payment or by establishment of reserves;

to the setting up of any reserves that the Board may deem reasonably necessary for any contingent or unforeseen liabilities or obligations of the Company or of the Managers arising out of or in connection with the Company;

to any accrued and unpaid Guaranteed Payment Distributions due to any Members;

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to any accrued and unpaid Profits Distributions due to any Members;

to any accrued and unpaid Tax Distributions due to any Members;

•

to the Members in accordance with the positive balances of their respective Capital Accounts (after giving effect to all contributions, distributions and allocations for all taxable years, including the year in which such liquidation occurs), in compliance with Section 1.704-1(b)(2)(ii)(b)(2) of the Regulations; and

to the Members, in accordance with their respective Vested Percentage Interests.

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If a Member has a deficit balance in his, her or its Capital Account (after giving effect to all contributions, distributions, and allocations for all taxable years, including the year during which such liquidation occurs), such Member shall have no obligation to make any additional Capital Contribution with respect to such deficit, and such deficit shall not be considered a debt owed to the Company or any other Person for any purpose whatsoever.

The cash flow and items of taxable income, gain, loss, deduction or credit of the Company during the period of liquidation shall be allocated among the Members in accordance with the terms and conditions set forth in Article 6 above.

If any assets of the Company distributed to Members in connection with any Liquidation Event of the Company are other than cash, then the value of such assets shall be their fair market value as determined in

good faith by the Board, except that any publicly-traded securities to be distributed to members in a liquidation, dissolution or winding up of the Company shall be valued as follows:

If the securities are then traded on a national securities exchange or the NASDAQ Stock Market (or a similar national quotation system), then the value of the securities shall be deemed to be the average of the closing prices of the securities on such exchange or system over the ten (10) trading day period ending five (5) trading days prior to the distribution; or

If the securities are actively traded over-the-counter, then the value of the securities shall be deemed to be the average of the closing bid prices of the securities over the ten (10) trading day period ending five (5) trading days prior to the distribution.

Return of Investment. The Members shall look solely to the assets of the Company for the return of their respective Capital Contributions and if such Member's assets remaining after the payment or discharge or provision for the payment or discharge, of his, her or its other debts or liabilities are insufficient to return the Capital Contributions to the applicable Members, none of them shall have any claims against any of the other Members related thereto.

Financial Accounting and Reports

Financial Records. The books and records of the Company shall be kept in accordance with the terms of this Agreement and otherwise in accordance with customary and reasonable bookkeeping practices and principles, consistently applied (unless otherwise specifically provided in this Agreement).

Reports. (a) Within thirty (30) days after the end of each calendar quarter, the Company shall deliver to each Member for such quarter the Company's balance sheet as of the end of such quarter and the Company's profit and loss statement for such quarter, all in reasonable detail.

Within ninety (90) days after the end of each calendar year, the Company shall deliver to each Member for such calendar year: (i) the Company's unaudited balance sheet as of the end of such calendar year and the Company's profit and loss statement for such calendar year, all in reasonable detail; and (ii) a report setting forth the balance of each Member's Capital Account as of the end of such calendar year and a description of the manner of its calculation.

Within such 90-day period, the Company shall also deliver to each Member and to each Person (or his, her or its legal representative) who was a Member during any part of the fiscal year a Schedule K-1 for such fiscal year. Upon request from any Member, the Company shall deliver a copy of the Company's federal income tax return for such fiscal year to such Member.

Banking. A deposit account or accounts in the name of the Company shall be maintained at such bank or banks as the Board may select from time to time hereafter by a resolution adopted in accordance with Section 4.10(a) above. All uninvested funds of the Company shall be deposited in such deposit accounts of the Company. The balances of such deposit accounts shall be subject to withdrawal by checks issued in the name of the Company and signed by any of the Managers or such person or persons as the Board may, from time to time, designate, including without limitation, any officers of the Company. The Board may, from time to time, invest any portion of the balances of such deposit accounts not needed in the operation of the Company's business in securities, certificates of deposit, and time or demand deposits in commercial

banks, bankers' acceptances, savings and loan association deposits or deposits in members of the federal home loan bank system.

Restrictions on Transfer

General Restriction. No Member shall Transfer his, her or its Membership Units except as expressly permitted in this Article 11. For purposes of this Agreement, "Transfer" shall mean, with respect to any Member and his, her or its Membership Units, any sale, gift, assignment, pledge, mortgage, exchange, hypothecation, grant of a security interest or other direct or indirect disposition or encumbrance of an interest (whether with or without consideration, whether voluntarily, involuntarily or by operation of law). Any Transfer of Membership Units in violation of the terms and conditions set forth in this Agreement shall be null and void.

Covenant Not To Dissolve. Notwithstanding any provision of the Act, each Member hereby covenants and agrees that the Members have entered into this Agreement based on their mutual expectation that all Members will continue as Members and carry out the duties and obligations undertaken by them hereunder, and that, except as otherwise expressly required or permitted in this Agreement, no Member shall be entitled to demand or receive a return of such Member's Capital Contributions or a share of Profits (or a bond or other security for the return of such Capital Contributions or share of Profits), or exercise any power under the Act to dissolve the Company.

Estate Planning Transfers. For purposes of personal estate planning, any Member may transfer his, her or its Membership Interest, in whole or in part, for the benefit of his or her spouse, children, parents, siblings, other family members or a family trust or other similar estate planning vehicle; provided, however, that: (a) no such transferee shall be deemed a Substituted Member (as defined below); and (b) such Membership Units so transferred shall remain subject to the terms and conditions of this Agreement.

EDIT Original: [The ROFR structure gives veto rights and right of first refusal to the Company only. If the Company declines, the interest goes directly to the third-party purchaser with no right for remaining Members to purchase.] **Proposed Edit:** After the Company ROFR provision, add: "In the event the Company does not exercise its right of first refusal within the applicable 30-day period, the remaining Founding Members (excluding the Withdrawing Member) shall have a secondary right of first refusal, exercisable within thirty (30) days following the Company's declination, to purchase the Withdrawing Member's interest on the same price, terms, and conditions set forth in the Sale Notice, pro rata based on their respective Percentage Interests. If the remaining Members do not exercise this secondary right within such 30-day period, the Withdrawing Member may proceed with the sale to the Third Party Purchaser subject to the terms of this Agreement." **Explanation:** Our essentials (§8) gave the Company first right of refusal, then a secondary right to the remaining members. The lawyer dropped the secondary member ROFR — so if the Company passes, the stake goes straight to a stranger. I could end up in business with someone I've never met if Brian or Michael sells out and the Company doesn't exercise its right. The secondary ROFR gives me and the remaining founder a chance to buy before that happens. **EDIT**

For a period of thirty (30) days after receipt of a Sale Notice, the Company, as determined by the Board (not including any Manager that is the Board Nominee or otherwise associated with either the Withdrawing Member or the proposed Third Party Purchaser) shall have the right, acting

in good faith and unanimously, to prohibit, in a resolution adopted by the Board (the "Veto Resolution"), the Withdrawing Member's sale to the proposed Third Party Purchaser that is not a then-current Member.

In the event the Board does not adopt a Veto Resolution in accordance with Section 11.4(b) above, for a period of thirty (30) days after receipt of a Sale Notice, the Company shall have the first right of refusal to acquire the Membership Interest of the Withdrawing Member (as determined by the affirmative vote of the Board, but not including any Manager that is the Board Nominee or otherwise associated with either the Withdrawing Member or the proposed Third Party Purchaser) for the purchase price and in accordance with the other terms set forth in such Sale Notice.

In the event the Company does not exercise such right within such 30-day period, such Withdrawing Member may proceed to sell such portion to such Third Party Purchaser subject to the terms set forth in such Sale Notice; provided that: (i) the closing of such sale occurs within forty-five (45) days after the date of such Sale Notice; and (ii) such Withdrawing Member has delivered to the Company evidence that such Third Party Purchaser has agreed in writing to be bound by the terms and conditions of this Agreement. Thereafter, such Third Party Purchaser shall become a Substituted Member provided such Third Party Purchaser shall have satisfied the terms and conditions for admission as a Substituted Member (as defined below) set forth in Section 11.11 below.

In the event that the Board adopts a Veto Resolution or the proposed sale to such Third Party Purchaser does not close within such 45-day period for any reason, such Withdrawing Member may retain his, her or its Membership Interest indefinitely and/or seek to solicit another Third Party Purchaser pursuant to the terms and conditions set forth in this Section 11.4.

In the event the Company exercises such right, such redemption shall be consummated at a closing at the offices of the Company within thirty (30) days after the date of such Redemption Notice. At such closing, the Company shall pay to the Member related to such Disabled Founding Member the Redemption Price, at the election of the Company, either: (i) in full in cash at closing; or (ii) ten percent (10%) of the Redemption Price in cash at closing and the balance in equal annual payments on each anniversary of such closing amortized over four (4) years, with interest thereon accruing at the cumulative average of then-current prime rate as set forth in the "Money Rates" column of the Wall Street Journal, Eastern Edition (or its successor) during the 30-day period prior to the date of such closing (the "Prime Rate"), such payment obligation to be evidenced by a negotiable promissory note or notes made by the Company payable to the order of such Member related to such Disabled Founding Member and containing a right of prepayment without penalty.

In the event that the Company does not exercise such redemption right, the Member related to such Disabled Founding Member shall continue to be a Member of the Company.

In the event the Company exercises such right, such redemption shall be consummated at a closing at the offices of the Company within thirty (30) days after the date of such Redemption Notice. At such closing, the Company shall pay to the Member related to such Deceased Founding Member the Redemption Price as follows:

in the event that the Company's receipt of any insurance proceeds related to "key man" insurance covering the Deceased Founding Member (the "Key Man Insurance Proceeds") are sufficient to pay the Redemption Price in full, the Company shall pay the Redemption Price in cash at closing; or

in the event there are no such Key Man Insurance Proceeds or such Key Man Insurance Proceeds are insufficient to pay the Redemption Price in full, at the election of the Company, the Company shall pay: (A) the Redemption Price in full in cash at closing; or (B) the greater of: (1) the Key Man Insurance Proceeds; or (2) ten percent (10%) of the Redemption Price in cash at closing and the balance in equal annual payments on each anniversary of such closing amortized over four (4) years with interest thereon accruing at the cumulative average of the Prime Rate during the 30-day period prior to the date of such closing, such payment obligation to be evidenced by a negotiable promissory note or notes made by the Company payable to the order of the Member related to such Deceased Founding Member, and containing a right of prepayment without penalty.

- In the event that the Company does not exercise such redemption right, , the Member related to such Deceased Founding Member shall continue to be a Member of the Company.*

By the resolution of the Board adopted in accordance with Section 4.10(a) above, the Company may obtain and continuously maintain a so-called "key man" life insurance policy covering the lives each of the Founding Members in the amount anticipated to be sufficient to fund the Redemption Price to be paid for each of their respective Membership Interests and naming the Company as the named insured and beneficiary thereunder. The Company shall be entitled to retain for its own account the amount by which such Key Man Insurance Proceeds exceeds such Redemption Price.

EDIT Original: *"...the Company shall pay to such Terminating Member the Redemption Price, at the election of the Company, either: (i) in full in cash at closing; or (ii) zero percent (0%) of the Redemption Price at closing and the balance in equal annual payments...amortized over ten (10) years with interest...at the Prime Rate...less two hundred (200) basis points..."* **Proposed Edit:** *"...the Company shall pay to such Terminating Member the Redemption Price, at the election of the Company, either: (i) in full in cash at closing; or (ii) twenty-five percent (25%) of the Redemption Price in cash at closing and the balance in equal annual payments on each anniversary of the date of such closing amortized over four (4) years with interest thereon accruing at the Prime Rate during the 30-day period prior to the date of such closing."*

Explanation: *If I leave voluntarily, the Company can choose to pay me nothing at closing and stretch the rest over 10 years at below-market interest. The terms need to be equalized with the disabled/deceased member structure.* **EDIT**

In the event the Company exercises such right, such redemption shall be consummated at a closing at the offices of the Company within thirty (30) days after the date of such Redemption Notice. At such closing, the Company shall pay to such Terminating Member the Redemption Price, at the election of the Company, either: (i) in full in cash at closing; or (ii) zero percent (0%) of the Redemption Price at closing and the balance in equal annual payments on each anniversary of the date of such closing amortized over ten (10) years with interest thereon accruing at the Prime Rate during the 30-day period prior to the date of such closing less two hundred (200) basis points (provided that such interest rate shall be consistent with the Code and the Regulations), such payment obligation to be evidenced by a negotiable promissory note or notes made by the Company payable to the order of such Terminating Member and containing a right of prepayment without penalty.

In the event that the Company does not exercise such redemption right, such Terminating Member shall have the same rights as a Prohibited Transferee (as defined below) as set forth in Section 11.12 below.

In the event the Company exercises such right, such redemption shall be consummated at a closing at such location as determined by the Board within thirty (30) days after the date of such Redemption Notice. At

such closing, the Company shall pay to such Defaulting Member the Redemption Price, at the election of the Company, either: (i) in full in cash at closing; or (ii) zero percent (0%) of the Redemption Price at closing and the balance in ten (10) equal annual installments which shall come due on the first (1st) day of the calendar month following each anniversary of such closing amortized over ten (10) years with interest accruing thereon at the Prime Rate during the 30-day period prior to the date of such closing less two hundred (200) basis points (provided that such interest rate shall be consistent with the Code and the Regulations), such payment obligation to be evidenced by an unsecured negotiable promissory note or notes made by the Company payable to the order of such Defaulting Member and containing a right of prepayment without penalty. Such interest rate reduction is intended, among other things, as liquidated damages to compensate the Company for redeeming the Membership Interest of such Defaulting Member at a time which may be disadvantageous to the Company, and as an equivalent to broker's commissions, closing costs, price reductions to obtain a prompt sale, and the like that would have been paid or made had all of the Company's assets been sold on the open market at a price necessary to obtain a prompt sale.

In the event that the Company does not exercise such redemption right, such Defaulting Member shall have the same rights as a Prohibited Transferee as set forth in Section 11.12 below.

EDIT Original: "...the Company shall pay to such Defaulting Member the Redemption Price, at the election of the Company, either: (i) in full in cash at closing; or (ii) zero percent (0%) of the Redemption Price at closing and the balance in ten (10) equal annual installments...amortized over ten (10) years with interest accruing thereon at the Prime Rate...less two hundred (200) basis points..." AND "The 'Current Value'...shall equal (x) the per Unit value as determined by the Board in good faith multiplied by the total Units held by such Member; less (y) any outstanding obligations..." [No price discount applied] **Proposed Edit:** Two

changes: (1) Payment terms — replace the 0%/10-year structure with: "ten percent (10%) of the Redemption Price in cash at closing and the balance in equal annual payments on each anniversary of such closing amortized over four (4) years, with interest thereon accruing at the Prime Rate during the 30-day period prior to the date of such closing." (2) Price — add after the Current Value definition:

"Notwithstanding the foregoing, the Redemption Price applicable to a Defaulting Member shall be calculated as seventy-five percent (75%) of the Current Value (a 25% discount from fair market value). This discount applies only to confirmed Defaulting Members and shall not take effect until the Default determination is final — either by agreement or resolution of any dispute through the process set forth in this Agreement." **Explanation:** The 25% price discount is the real penalty for being a Bad Leaver — that's the financial consequence for causing harm to the company. The 0%/10-year payment structure on top of it is just punishing twice, and 10 years is a long time to be owed money with no guarantee of collection. 10% down with 4-year amortization is what the document already gives to disabled and deceased founders — there's no reason a Bad Leaver should be treated worse on payment timeline than a dead person. The discount does the heavy lifting. The payment terms just need to be clean. **EDIT**

Valuation of Membership Interests. (a) The Current Value of the Membership Interest for purposes of any of the redemption transactions contemplated in this Article 11, shall be determined (i) in the case of a Deceased Member, as of the date upon which such Member dies or is adjudicated deceased; or (ii) in the case of a Defaulting Member, as of the date upon which such Member Default has occurred, which for purposes of Section 11.8(a)(ii) above shall be deemed to be the date on which the applicable Member Default occurred, or the date on which a bankruptcy petition is filed against such Member or upon which such Member's Membership Interest is involuntarily transferred (each such date, a "Valuation Date"). The "Current Value" of any such Membership Interest shall equal (x) the per Unit value as determined by the

Board in good faith multiplied by the total Units held by such Member; less (y) any outstanding obligations of the Member to the Company.

- In the event the Member disagrees with the Board's determination regarding the Current Value, such Member and the Board shall mutually agree on an independent third-party appraiser to make an appraisal of the fair market value of the Company, which shall be provided no later than thirty (30) days following such Member's receipt of a Redemption Notice. The cost of such appraisal shall be borne equally by the Company and the Member challenging the valuation. The final decision of such appraiser shall be binding on all parties.

Drag-Along. (a) In the event the Board votes in accordance with Section 4.10(a) above to sell all or a majority of all of the Membership Units in the Company to an unrelated third party purchaser (a "Drag-Along Sale"), then all of the Members (collectively, the "Drag-Along Members") shall be required to sell their respective Membership Units to such third party purchaser on the same price, terms and conditions governing such Drag-Along Sale.

Each Drag-Along Member shall be required to sell such number of Membership Units owned by such Drag-Along Member equal to the product obtained by multiplying the number of Membership Units applicable to the Drag-Along Sale by the Drag-Along Member's Percentage Interest.

Each Drag-Along Member shall be required to participate in the Drag-Along Sale only to the extent that: (i) upon the consummation of the Drag-Along Sale, each Member shall receive the same form and amount of consideration per Membership Unit (subject to any pro rata required escrows of a portion of the consideration as determined by the Company) as any other Member holding the same class or series of Membership Units; (ii) if any Member is given an option as to the form and amount of consideration to be received, every Member holding the same class or series of Membership Units is given the same option; and (iii) any non-cash consideration received by the Members pursuant to the terms of the Drag-Along Sale is allocated among the Members holding such class or series of Membership Units in accordance with the fraction, the numerator of which is the number of Membership Units such Drag-Along Member holds of such class or series and the denominator of which is all the Membership Units issued and outstanding for such class or series.

Substituted Members. (a) Subject to the redemption rights of the Company set forth elsewhere in this Article 11, and subject to the conditions and limitations set forth in this Section 11.11, a Successor or a Third Party Purchaser of all or any portion of a Membership Interest shall have the right to become a Member in place of his, her or its predecessor in interest with respect to such Membership Interest and shall be admitted as a Member and referred to herein as a "Substituted Member."

As a condition to admission as a Substituted Member, such Persons eligible to become Substituted Members shall execute and acknowledge such instruments, in form and substance satisfactory to the Board, as the Board shall deem necessary or desirable to effectuate such admission and to confirm the agreement that such Substituted Member is to be bound by all of the terms and provisions of this Agreement, as the same may have been amended from time to time, with respect to the Membership Interest, or portion thereof, acquired from or through such predecessor in interest; and such Substituted Member shall pay all reasonable expenses in connection with such admission as a Substituted Member, including without

limitation, the cost of the preparation and filing of any amendment of the Articles or this Agreement necessary or desirable in connection therewith.

Rights of Prohibited Transferees and Transferor Members. (a) Any purported transfer of a Membership Interest occurring other than as permitted in accordance with this Article 11 shall be null and void and of no effect whatsoever; provided, however, in the event the Company is required to recognize a prohibited transfer (or if the Company, in its reasonable discretion, elects to recognize a prohibited transfer), the Membership Interest transferred shall be strictly limited to the transferor's rights to allocations and distributions as provided by this Agreement with respect to such transferor's Membership Units, which allocations and distributions may be applied by the Company (without limiting any other legal or equitable rights of the Company or the other Members) to satisfy any debts, obligations, or liabilities for damages that the Withdrawing Member or the transferee of such Membership Interest may have to the Company or to the other Members.

A Person that acquires a Membership Interest but is not admitted as a Substituted Member (a "Prohibited Transferee") shall: (i) be entitled only to allocations and distributions associated with such Membership Interest; (ii) have no right to information or accounting of the affairs of the Company; (iii) not be entitled to inspect the books or records of the Company; (iv) not be entitled to exercise any voting rights associated with such Membership Interest; and (v) not have any of the rights of a Member under the Act or this Agreement except for those specifically set forth in this Section 11.12(b).

The Closing of any purchase under this Section 11.13 shall occur within sixty (60) days after the date of the Offer Notice. The obligations of the Offering Member and Remaining Members as provided herein shall be binding on and enforceable against the Offering Member and those Remaining Members. In the event either the Offering Member or any Remaining Members obligated to purchase the Membership Interest of the others hereunder fail to close on such purchase within such 60-day period, such failure shall constitute a waiver by such parties of their rights set forth in this Section 11.13.

In the event no Founding Member exercises their right to become an Offering Member under this Section 11.13 within the thirty-day period described in Section 11.13(a), the Founding Members shall be deemed to have waived their rights set forth in this Section 11.13.

Miscellaneous

Documents. Each Member and Founding Member agrees to execute such certificates, counterparts, instruments, documents and amendments thereto as may from time to time be required under applicable law for the formation of the Company or otherwise required in connection with the operation of the Company Business as determined by the resolution of the Board adopted in accordance with Section 4.10(a) above.

Binding Agreement. This Agreement shall survive the formation of the Company and shall be binding on the assignees and legal successors of the Members.

Captions. Descriptive titles are used for convenience only and shall not be considered in the interpretation of this Agreement.

Equitable Relief. Each Member acknowledges and agrees that the terms and conditions set forth elsewhere herein are reasonable and necessary to protect the legitimate interests of the Company and the other Members, and that such Member's violation or default in the performance of his, her or its obligations as set forth elsewhere herein will result in irreparable injury to the Company and/or the other Members. Each Member also acknowledges and agrees that the Company or the other Members, as applicable, shall be entitled to specific performance of such terms and conditions and to preliminary and permanent injunctive relief relating to the same, which rights shall be cumulative and in addition to any other rights or remedies to which the Company or other Members may be entitled. Neither the Company nor the other Members shall be required to post a bond or to show special damages in any proceeding seeking any such equitable relief.

EDIT Original: "EACH PARTY HERETO HEREBY WAIVES HIS, HER OR ITS RESPECTIVE RIGHTS TO TRIAL BY JURY OF ANY SUIT, CLAIM, CAUSE OF ACTION OR OTHER ACTION TO ENFORCE ANY TERM OR CONDITION OF THIS AGREEMENT OR OTHERWISE ARISING OUT OF OR RELATED TO THIS AGREEMENT."

Proposed Edit: Remove "EACH PARTY HERETO HEREBY WAIVES HIS, HER OR ITS RESPECTIVE RIGHTS TO TRIAL BY JURY..." in its entirety. The section heading should be retitled "Governing Law; Venue; Jurisdiction." If all three founders prefer arbitration over litigation, replace with a clean standalone arbitration clause: "Any dispute arising under this Agreement shall be resolved by binding arbitration administered by the American Arbitration Association under its Commercial Arbitration Rules, seated in Boulder, Colorado. The arbitrator shall have authority to award any remedy available at law or in equity."

Explanation: This wasn't in our essentials at all. A blanket jury trial waiver means every dispute — IP ownership, wrongful default, forced buyout — goes to a judge with no jury. That favors whoever has more legal firepower, which in a dispute against the Company would be the Company. What we actually agreed to in our essentials was mediation → arbitration, which is a better path anyway. If we want arbitration, let's use a clean arbitration clause. But I'm not signing away my right to a jury trial in a standalone waiver that serves no purpose other than tilting disputes away from me. **EDIT**

Governing Law; Venue; Jurisdiction; Jury Trial Waiver. This Agreement shall be governed by and construed in accordance with the laws of the State of Colorado including all matters of construction, validity and performance. The parties agree that any action or proceeding commenced under or with respect to this Agreement shall be brought only in the district courts of the County of Boulder, State of Colorado, and the parties irrevocably consent to the jurisdiction of such courts and waive any right to alter or change venue, including by removal. EACH PARTY HERETO HEREBY WAIVES HIS, HER OR ITS RESPECTIVE RIGHTS TO TRIAL BY JURY OF ANY SUIT, CLAIM, CAUSE OF ACTION OR OTHER ACTION TO ENFORCE ANY TERM OR CONDITION OF THIS AGREEMENT OR OTHERWISE ARISING OUT OF OR RELATED TO THIS AGREEMENT.

Entire Agreement; Severability; Waiver. This Agreement constitutes the entire agreement between the parties hereto and thereto concerning the matters covered herein and supersedes all prior agreements and/or understandings, between the parties, whether written or oral, concerning the matters addressed herein; and there are no understandings, agreements, representations or warranties, express or implied, which are not specified in writing and signed by the parties hereto. In the event that any of the terms of this Agreement are or become illegal or unenforceable, such terms shall be null and void and shall be deemed deleted from this Agreement, and all the remaining terms of this Agreement shall remain in full force and effect. No waiver of any provision of this Agreement, nor consent to any departure by either party therefrom, shall in any event be effective unless the same shall be in writing and signed by the party to be charged with the waiver or consent, and then such waiver or consent shall be effective only in the specific instance and for the specific purpose for which given.

Legal Expenses. Each party shall bear his, her or its own costs and expenses (including attorneys' fees) in connection with the negotiation, preparation and execution of this Agreement. In the event of any legal action to enforce or construe any provision of this Agreement (including in any arbitration), the non-prevailing party or parties thereto shall pay the prevailing party the reasonable costs and expenses (including attorneys' fees) incurred by such prevailing party therein.

Company Name. The Company shall have the exclusive ownership and right to use the Company name as long as the Company continues, despite the withdrawal (for whatever reason) of any Member. No value shall be placed upon the name or the goodwill attached to the Company name for the purpose of determining the value of any Member's Capital Account.

EDIT Original: "...the provisions of this Agreement and the Articles may be amended only upon the affirmative vote of the Board in accordance with Section 4.10(b) above." **Proposed Edit:** "...the provisions of this Agreement and the Articles may be amended only upon the unanimous written consent of all Founding Members acting in their capacity as Members (not solely as Board members)." **Explanation:** This matters because of the sequence: if I'm removed as a Manager first (using Default or other grounds), I lose my Board vote. Then Brian and Michael could amend the agreement by "unanimous Board vote" with only two people left on the Board. Tying amendments to Member consent — not Board status — means I retain my amendment veto as long as I'm a Member, regardless of whether I've been removed as a Manager. Our essentials (§21) were clear: unanimous written consent of the Members. That's the standard this should match. **EDIT**

Amendment of this Agreement and Articles of Organization. Except as otherwise expressly provided herein, the provisions of this Agreement and the Articles may be amended only upon the affirmative vote of the Board in accordance with Section 4.10(b) above.

Rights upon Default. This Agreement may be enforced at law or in equity, including suit for damages or for specific performance. Any Member who violates any of the terms of this Agreement shall hold the Company and all other Members harmless and indemnify them from any claims, actions and losses, including reasonable attorneys' fees, which may arise from such violation.

EDIT Original: "(d) Hutchinson Black and Cook, LLC may represent the Company, the Board or any of the Company's Affiliates in connection with any and all matters that may arise after the consummation of this Agreement (including any dispute between the Company, the Board and/or any of the Company's Affiliates, on the one hand, and any other Member, on the other hand) and such Member waives any conflict of interest in connection with any future representation by Hutchinson Black and Cook, LLC." **Proposed Edit:** **DELETE SUBSECTION (d) ENTIRELY.** Do not replace it. The remainder of the Acknowledgements section (subsections a, b, c) can stay, but subsection (d) must be removed with no substitution. **Explanation:** This is the most dangerous clause in the document for me. By signing this, I'm pre-emptively waiving my right to challenge Hutchinson Black & Cook as counsel in any future dispute — including one where the Company or the Board is directly adverse to me. That means if Brian and Michael use the Company to come after me on IP ownership, Default status, or a forced buyout, the same law firm that drafted this agreement can represent them against me, and I've already agreed I can't object. That's an extraordinary concession I never agreed to in our essentials. I need subsection (d) deleted entirely — not narrowed, deleted. I should also strongly consider getting independent legal counsel to review this before signing anything. **EDIT**

Acknowledgements. Upon execution and delivery of a counterpart to this Agreement or an Acknowledgment to become a party to this Agreement, each Member shall be deemed to acknowledge to

the Company, the Board and Hutchinson Black and Cook, LLC as follows: (a) the determination of such Member to acquire Membership Units pursuant to any subscription agreement or other agreement by and between such Member and the Company has been made by such Member independent of any other Member and independent of any statements or opinions as to the advisability of such purchase or as to the properties, business, prospects or condition (financial or otherwise) of the Company which may have been made by the Board; (b) the Company has retained Hutchinson Black and Cook, LLC in connection with the transactions contemplated hereby and the Company may also retain Hutchinson Black and Cook, LLC as legal counsel in connection with the management and operation of the Company and its Affiliates; (c) Hutchinson Black and Cook, LLC is not counsel to any other Members other than the Company, the Board and the Company's Affiliates and is not representing and will not represent any other Member other than the Board in connection with the transactions contemplated hereby or any dispute which may arise between the Company or the Board, on the one hand, and any other Member, on the other hand; (d) Hutchinson Black and Cook, LLC may represent the Company, the Board or any of the Company's Affiliates in connection with any and all matters that may arise after the consummation of this Agreement (including any dispute between the Company, the Board and/or any of the Company's Affiliates, on the one hand, and any other Member, on the other hand) and such Member waives any conflict of interest in connection with any future representation by Hutchinson Black and Cook, LLC.

Certain Definitions

Adjusted Asset Value. The "Adjusted Asset Value" with respect to any asset shall be the asset's adjusted basis for federal income tax purposes, except as follows:

The initial Adjusted Asset Value of any asset contributed by a Member to the Company shall be the gross fair market value of such asset at the time of contribution, as determined by the contributing Member and the Company.

In the discretion of the Board, the Adjusted Asset Values of all Company assets may be adjusted to equal their respective gross fair market values, as determined by the Board, and the resulting unrecognized profit or loss allocated to the Capital Accounts of the Members pursuant to Article 5, as of the following times: (i) the acquisition of an additional interest in the Company by any new or existing Member in exchange for more than a de minimis capital contribution; and (ii) the distribution by the Company to a Member of more than a de minimis amount of Company assets, unless all Members receive simultaneous distributions of either undivided interests in the distributed property or identical Company assets in proportion to their Percentage Interests.

The Adjusted Asset Values of all Company assets shall be adjusted to equal their respective gross fair market values, as determined by the Board, and the resulting unrecognized profit or loss allocated to the Capital Accounts of the Members pursuant to Article 5, as of the following times: (i) the termination of the Company for federal income tax purposes pursuant to Code Section 708(b)(1)(B); and (ii) the termination of the Company.

Adjusted Capital Account Deficit. The term "Adjusted Capital Account Deficit" shall mean, with respect to any Member, the deficit balance, if any, in such Member's Capital Account as of the end of the relevant fiscal year, after giving effect to the following adjustments:

Credit to such Capital Account of any amounts that such Member is obligated to restore (pursuant to the terms of such Member's Capital Contributions as set forth in Section 5.2 above, if any) or is deemed obligated to restore pursuant to the penultimate sentences of Sections 1.704-2(g)(1) or 1.704-2(i)(5) of the Regulations or would be deemed obligated to restore if Member Loan Nonrecourse Deductions were treated as Nonrecourse Deductions; and

Debit to such Capital Account the items described in Sections 1.704-1(b)(2)(ii)(d)(4), (5) or (6) of the Regulations.

The foregoing definition of Adjusted Capital Account Deficit is intended to comply with the provisions of Section 1.704-1(b)(2)(ii)(d) of the Regulations and shall be interpreted consistently therewith.

Available Cash. "Available Cash" shall mean, as of any Distribution Date, the amount by which the gross revenue actually received by the Company during the calendar quarter immediately preceding such Distribution Date exceeds the aggregate of: (a) the Operating Liabilities paid or then due and payable during such calendar quarter; (b) the Preferred Distributions paid during such calendar quarter; and (c) the then-current capital reserve as determined by the Board in accordance with Section 4.10(a) above.

Capital Account. The "Capital Account" of each Member shall consist of his, her or its original capital contribution (a) increased by any additional Capital Contributions, his, her or its share of income or gain that is allocated to Member pursuant to this Agreement in accordance with such Member's pro rata share of Membership Units, and the amount of any Company liabilities that are allocated to, or are assumed by Member, or that are secured by any Company property distributed to Member; and (b) decreased by the amount of any withdrawals by Member, his, her or its share of expense or loss that is allocated to Member pursuant to this Agreement, and the amount of any of his, her or its liabilities that are assumed by the Company or that are secured by any property contributed by Member to the Company. The foregoing provision and the other provisions of this Agreement relating to the maintenance of Capital Accounts are intended to comply with Section 1.704-1(b)(2)(iv) of the Regulations and shall be interpreted and applied in a manner consistent with such Regulations. In the event the Board shall determine that it is prudent to modify the manner in which the Capital Accounts, or any debits or credits thereto, are computed in order to comply with such Regulations, the Board may make such modification.

Capital Contribution Percentage Interest. "Capital Contribution Percentage Interest" shall mean, with respect to any Member, the fraction, the numerator of which is the aggregate Capital Contributions advanced by such Member and the denominator of which is the aggregate Capital Contributions advanced by all the Members.

Code. The "Code" is the Internal Revenue Code of 1986, as amended from time to time (or any corresponding provisions of succeeding law).

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EDIT Original: *"The 'Company Business' shall mean...the business of developing, operating, licensing, or commercializing software, platforms, applications, tools, data, content, or services that are primarily designed for, marketed to, or used in connection with the buying, selling, marketing, listing, valuation, restoration, maintenance, operation, or ownership of automobiles and other motor vehicles, including without limitation boats, aircraft, motorcycles, bicycles, and other wheeled or motorized vehicles."*

Proposed Edit: *"The 'Company Business' shall mean, as of any date of determination, the business CMM is actively operating at that time, which as of the Effective Date is a curated online paid marketplace for*

classic and enthusiast automobiles. 'Company Business' expands only as CMM actually enters and operates in new markets — it does not pre-emptively cover markets CMM may someday enter based on this or any other broad definition. For the avoidance of doubt, the following are never included in 'Company Business' unless CMM is actively operating them at the time of determination: (i) aviation or aerospace; (ii) marine or boating; (iii) motorcycles, bicycles, or micromobility; (iv) software tools, engineering platforms, or automotive technology services not functioning as a curated marketplace; or (v) any market, product, or industry in which CMM has not launched an active commercial product." **Explanation:** This is the definition I care most about because it controls both what IP I assign to CMM and what I'm restricted from competing with. The way the lawyer wrote it, the definition is a forward-looking land grab — it lists every vehicle category CMM could conceivably expand to, and uses that aspirational scope to claim my future work and restrict my career. That's not what we agreed to. What I'm okay with: not competing with CMM's actual current marketplace while I'm here, and for a year after I leave. What I'm not okay with: being restricted from automotive software, boat tech, aviation tools, or motorcycle apps just because a lawyer listed them in a definition. This proposed edit makes the definition dynamic — it describes what CMM actually does, and only expands if CMM actually enters those markets. That's fair to both sides. **EDIT**

Company Business. The "Company Business" shall mean, as of any date of determination, the business of developing, operating, licensing, or commercializing software, platforms, applications, tools, data, content, or services that are primarily designed for, marketed to, or used in connection with the buying, selling, marketing, listing, valuation, restoration, maintenance, operation, or ownership of automobiles and other motor vehicles, including without limitation boats, aircraft, motorcycles, bicycles, and other wheeled or motorized vehicles.

Company Minimum Gain. The term "Company Minimum Gain" shall have the same meaning as that given to the term "partnership minimum gain" as set forth in Sections 1.704-2(b)(2) and 1.704-2(d) of the Regulations.

Confidential Information. "Confidential Information" shall mean any and all information, materials, trade secrets, or other data disclosed or made available to the Members or known by the Members as a direct or indirect consequence of membership in the Company and not generally known to the public or in the public domain.

Depreciation. "Depreciation" shall mean, for each fiscal year or other applicable period, an amount equal to the depreciation, amortization, or other cost recovery deduction allowable with respect to an asset for such year or other period, except that if the Adjusted Asset Value of an asset differs from its adjusted basis for federal income tax purposes at the beginning of such year or other period, Depreciation shall be an amount that bears the same ratio to such beginning Adjusted Asset Value as the federal income tax depreciation, amortization, or other cost recovery deduction for such year or other period bears to such beginning adjusted tax basis; provided, however, that if the federal income tax depreciation, amortization, or other cost recovery deduction for such year is zero, Depreciation shall be determined with reference to such beginning Adjusted Asset Value using any reasonable method selected by the Board.

Distribution Date. "Distribution Date" shall mean each of January 15th, April 15th, July 15th and October 15th of each calendar year.

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Member Loan Nonrecourse Deductions. "Member Loan Nonrecourse Deductions" shall mean any Company deductions that would be Nonrecourse Deductions if they were not attributable to a loan made or

guaranteed by a Member within the meaning of Sections 1.704-2(i)(1) and (2) of the Regulations.

Membership Interest. With respect to each Member and as of any date of determination, the term "Membership Interest" shall mean the Membership Units owned by such Member.

Nonrecourse Deductions. "Nonrecourse Deductions" has the meaning set forth in Section 1.704-2(b)(1) of the Regulations. The amount of Nonrecourse Deductions for a fiscal year of the Company shall equal the net increase, if any, in the amount of Company Minimum Gain during that fiscal year, determined according to the provisions of Section 1.704-2(d) of the Regulations.

Operating Liabilities. "Operating Liabilities" shall mean, as of any date of determination, all liabilities, expenses and costs incurred by the Company in connection with the operations of the Company

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Percentage Interest. "Percentage Interest" shall mean, with respect to each Member, the fraction, the numerator of which is the number of Membership Units owned by such Member and the denominator of which is the aggregate of all the issued and outstanding Membership Units.

Person. "Person" shall mean any individual, partnership, company, trust, limited liability company, joint venture, association or other entity.

Profits and Losses. "Profits" and "Losses" shall mean, for each fiscal year or other period, an amount equal to the Company's taxable income or loss for such year or period, determined in accordance with Code Section 703(a) (for this purpose, all items of income, gain, loss, or deduction required to be stated separately pursuant to Code Section 703(a)(1) shall be included in taxable income or loss), with the following adjustments:

Any income of the Company that is exempt from federal income tax and not otherwise taken into account in computing Profits or Losses pursuant to this Section 13.18 shall be added to such taxable income or loss;

Any expenditures of the Company described in Code Section 705(a)(2)(B) or treated as Code Section 705(a)(2)(B) expenditures pursuant to Section 1.704-1(b)(2)(iv)(i) of the Regulations, and not otherwise taken into account in computing Profits or Losses pursuant to this Section 13.18 shall be subtracted from such taxable income or loss;

In the event the Adjusted Asset Value of any Company asset is adjusted pursuant to Section 13.1 above, the amount of such adjustment shall be taken into account as gain or loss from the disposition of such asset for purposes of computing Profits or Losses;

Gain or loss resulting from any disposition of Company property with respect to which gain or loss is recognized for federal income tax purposes shall be computed by reference to the Adjusted Asset Value of the property disposed of, notwithstanding that the adjusted tax basis of such property differs from its Adjusted Asset Value;

In lieu of the depreciation, amortization, and other cost recovery deductions taken into account in computing such taxable income or loss, there shall be taken into account Depreciation for such fiscal year or other period, computed in accordance with Section 13.12 above; and

Notwithstanding any other provisions of this Section 13.18, any items that are specially allocated pursuant to Section 6.4 or Section 6.5 above shall not be taken into account in computing Profits or Losses.

Regulations. "Regulations" shall mean the Income Tax Regulations promulgated under the Code, as such Regulations may be amended from time to time (including corresponding provisions of succeeding Regulations).

Revised Partnership Audit Procedures. "Revised Partnership Audit Procedures" shall mean the provisions of Subchapter C of Subtitle F, Chapter 63 of the Code, as amended by P.L. 114-74, the Bipartisan Budget Act of 2015 (together with any subsequent amendments thereto, the Regulations promulgated thereunder, published administrative interpretations thereof, any guidance issued thereunder and any successor provisions) or any similar procedures established by a state, local, or non-U.S. taxing authority.

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Vested Percentage Interest. "Vested Percentage Interest" shall mean, with respect to each Member and as of any date of determination, the fraction, the numerator of which is the number of then-vested Membership Units owned by such Member and the denominator of which is equal to the aggregate of all the issued and outstanding Membership Units.

[Remainder of this Page Left Intentionally Blank]

In Witness Whereof, the parties hereto have executed this Agreement effective as of the date first above written.

The Members:

Exhibit A

EDIT Original: [Exhibit A — Schedule of Members — is entirely blank. No names, addresses, capital contribution amounts, or unit allocations are filled in.] **Proposed Edit:** Exhibit A must be completed before signing as follows:

Member	Address	Capital Contribution	Membership Units
Atreyu Sutton	[Address]	\$1,000	3,000
Brian Hughes	[Address]	\$1,000	3,000
Michael Burroughs	[Address]	\$1,000	3,000
Total		\$3,000	9,000

The date on Exhibit A must match the Agreement's effective date (January [DAY], 2026). **Explanation:** Everything — Capital Accounts, tax distributions, ownership percentages — depends on Exhibit A. **EDIT**

Classic Motor Market LLC

Schedule of Members

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